PepsiCo: watch/defer pending evidence closure

Oladapo Olaniyan | Buy-side investment committee, no current PEP position | Working AI-assisted memo 2026-10-06. Student recommendation/approval: [blank]. Horizon 12-24 months; forecast FY 2026-2030. USD; PEP common shares. Market date October 5, 2026; price $125.65. Bridge June 13 / shares July 2, not an October balance sheet.

Decision and strongest evidence

AI draft committee ask: retain PEP on a watchlist and defer initiation. Base value $117.29 is 6.7% below the dated close, with conditional low/base/high values $76.12/$117.29/$170.22. This is a scenario range, not a confidence interval or approved target. No scenario probability or averaged DCF/comps target is assigned. Senior sector analysts retain ownership of the view; this evidence stack supports their review.

FY 2025 SEC revenue 93,925, operating profit 11,498 and intangible impairment 1,993 support a 13,491 normalized EBIT base (14.36% margin). Removal is an analytical normalization, not evidence that damaged brands recovered. CFO 12,087 less cash capex 4,415 is 7,672; the normalized operating FCFF proxy 8,346.98 differs for stated tax/nonoperating/WC reasons. The 802 difference between cash-flow and balance-sheet WC change remains unresolved.

Forecast and valuation mechanics

FY 2026 reported growth 5% anchors to management 4-6% outlook; later 3.5/3.5/3/3% is assumed. Base gross margin 54.2->54.5%, SG&A 39.8->39.3%, capex 4.7% of sales, normalized tax 22%. Base FY 2030 revenue 112,079, EBIT 17,036, FCFF 12,332 USD million. Five-year IS/BS/CF articulate; cash funding is explicit, not silent plug.

WACC 7.66%: observed Treasury 5.31% plus assumed beta 0.65, ERP 5%, debt spread 80 bp; equity/debt weights use basic point market capitalization/book debt proxy. Remaining 2026 FCFF is prorated 82/365, an unvalidated seasonality assumption. Terminal g 2.5%, assumed incremental ROIC 15% and g/ROIC 16.67% reinvestment. Terminal PV is 80.1% of EV: long-run economics dominate. DCF EV 200,936 + cash 10,251 + STI 465 + affiliate book 2,180 - debt 53,214 - NCI 172 = common equity 160,446 USD million; divide 1,367.891558 million diluted proxy shares. Claims/fair-value/current-date rollforward remain qualified.

Scenarios, market expectations and method disagreement

Case	Value/share	WACC	g	Terminal share	Driver
Low	$76.12	8.16%	1.5%	77.7%	weak demand/costs/WC
Base	$117.29	7.66%	2.5%	80.1%	modest productivity
High	$170.22	7.16%	3.0%	82.8%	volume/mix recovery
Value Reset Failure	$51.63	8.66%	1.0%	77.2%	price cuts/slow overhead

Ordinary sensitivity spans $86.17-$166.79 across WACC 6.66-8.66% and g 1.5-3%. This is parameter stress, not a causal scenario. Reverse DCF requires roughly 0.85 percentage points more EBIT margin in every forecast year (lower SG&A), holding other drivers fixed, to explain 125.65. It is one conditional market-implied path, not the market's uniquely identified belief.

Predeclared KO/MDLZ sector lenses use Oct 5 closes, FY 25 GAAP EBIT+D&A/common NI and Q 2 bridges. EV/EBITDA median 22.42 x implies PEP $215.36 on reported EBITDA, versus $248.02 on separately normalized EBITDA; P/E median 29.43 x implies $177.27. These qualified comparisons exceed DCF because franchise/snack economics differ, MDLZ earnings include derivative mark-to-market losses, and book-investment/claim proxies and old denominators distort comparability. They do not justify averaging into a target. No defensible transaction valuation is claimed.

Downside, monitoring and committee conditions

Value Reset Failure assumes 2027 revenue-3%, gross margin 51.5%, SG&A 41.5% and 10 extra days for both receivables/inventory. Modeled year 2 FCFF 5,937 USD million; cumulative funding draw 21,208 USD million while maintaining cash floor 4,000. This links operating weakness to cash, debt and value; it is not an actual covenant/default statement. Persistent deterioration would support do-not-initiate and payout/funding review, rather than relying on a reassuring base case.

AI-proposed entry reconsideration: a 20% discount to reviewed base value (about $93.84) plus verified margin/cash recovery and credible downside funding. Monitor organic volume/pricing, North American margin, inventory/receivable days, cash conversion and debt/payouts after each release. Reversal: structural margin erosion or unavailable funding invalidates initiation; stronger verified economics/current bridge can support reconsideration. Threshold/horizon/risk budget and final committee ask require student judgment, not a claimed personal view.

42 ordinary checks passed, zero failed; clean fresh-environment outputs match five financial artifacts byte-for-byte. Two qualified/five open records remain. See Validation-and-AI-Use-working-v2.pdf and source-register-v3.csv. Human locked prediction/run, real partner challenge and EditionA recovery/staff guidance are incomplete; recordings/transcripts/access/freeze not complete. No submission-ready attestation is made.